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Update

The Challenge: Running IT Like a Business

by Jeff Scott

OVERVIEW

IT organizations are constantly being challenged to demonstrate value, align with the business (their customers), and increase operational efficiency. In short, they are challenged to run like a business. Given the intensity and persistence of this pressure, it is surprising how few IT managers actually run their organizations this way — utilizing the basic business principles of delivering a quality product with good service at a reasonable price in a competitive environment — to drive ultimate success. We see our own companies apply these principles every day, yet we don't embrace them ourselves. This *Executive Update* summarizes one IT organization's experience in moving toward this model and working inside the corporation as a "business at risk" — that is, an organization whose very existence depends on marketing, selling, and producing value in a competitive marketplace. Take a deep breath. This isn't for the faint of heart.

FACING REALITY

In early 1995, I was put in charge of the newly created Advanced Technology Group (ATG) for a *Fortune* 500 financial services company. The group was formed through a major business process reengineering effort that significantly changed the IT organizational structure. ATG comprised enterprise architecture, technology research, planning and strategy, and integration services. Our 1995 budget was US $8.4 million, and staff size was 72.

During the next three years, the company was heavily engaged in acquisitions, driving significant cost-reduction efforts across the company. Unfortunately, cost cuts were not distributed equally. Categorized as a "nonessential" service, ATG suffered large budget cuts, which resulted in equally large staff reductions.

In mid-1998, ATG management met to review its options. By this time, staff had been reduced to 45, the budget stood at $4.5 million, and the next round of budget cuts was on the way. We did the math and realized two more years of cuts would literally budget us out of existence (see Figure 1). The question was, "What do we do?" We eventually developed three options.

Option one was to stay the course and accept whatever fate befell us. Who were we to argue with senior management? Option two was to proactively dismantle the group. This would at least give us some control over our fate and allow most staff members to choose their next assignment. It would also reduce actual displacements to a

CUTTER CONSORTIUM

minimum. And option three? Fight for our lives! Figure out a way to get off the dreaded "nonessential" list or at least avoid further budget cuts. This was clearly the most risky and difficult approach both professionally and personally. The problem was, we loved our jobs and truly believed in our value to the company.

TAKING A BOLD STEP

After many days of discussions and confrontations, we formulated a strategy to run ATG like a business. We would market and sell our services to the multiple CIO organizations based solely on the value we brought to the table. We would compete head to head with outside consultants and other internal teams. We would charge the projects for our services, creating a revenue stream such that we were totally project funded. At that point, we would be completely outside the corporate budgeting process and have much more control over our funding. Several factors worked in our favor:

- There were more than 500 contractors and consultants on site. Acquiring just 10% of their business would cover 100% of our budget.
- Most large projects seemed to survive the budget reductions unscathed.
- We had a staff with strong and extensive technical skills.
- One of our teams had been playing with this idea for a couple of years, so we had some conceptual understanding of the process and the problems.
- The management team was highly motivated to make it work.

Several factors also worked against us:

- We were *way* out of the box. Support organizations such as finance, human resources, and real estate were not set up to deal with our needs.
- Our primary customers, the CIOs, were traditional thinkers with a strong need for control.
- We had no marketing or sales experience.
- We didn't have a set of well-defined products and services.
- We didn't have much time. The next round of budget cuts was looming.

WINNING THE STAFF

In the beginning, it looked as though getting staff buy-in would be easy. The staff was clearly aware of the past budget and staffing cuts. When the management team presented our "business-driven" strategy, the staff unanimously agreed that it was a good approach. There was even quite a bit of excitement about the concept. However, this attitude changed abruptly with our first new process implementation: time recording. The logic was

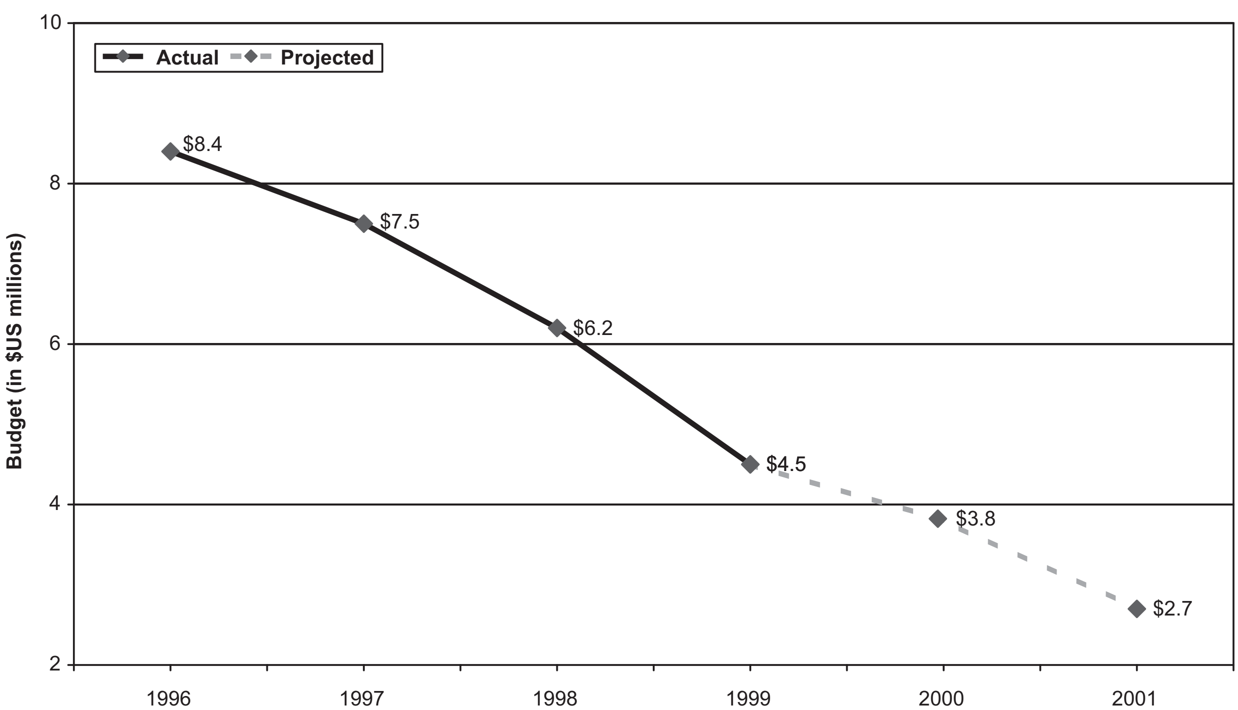

Figure 1 — 1998 budget situation.

sound. If we were going to charge clients for our services, we needed accurate and complete time recording from everyone. The staff rebelled: "We are professionals. We shouldn't have to punch a clock."; "It's not fair to charge my client 10 hours a day when the company pays me for only 8."; "I won't be able to have my 45-minute gossip session with Suzie anymore." (OK, no one really made that last comment, but many were thinking it.) There was no easy solution. To set an example, I had managers record their time as well. They in turn suggested I record my time to set an example for them. The staff was right. It didn't feel good. Overall, it took a lot of management tenacity, and we actually lost a few folks over the issue.

The more critical staff issue was dealing with fear. With no real budget for staff, employees felt very much at risk, which, of course, was justified. We were asking them to work like consultants but with less training. They had to demonstrate higher technical skill at a lower price than the dozens of outside consultants who were competing for the same work, and they had to contend with clients that couldn't quite grasp the model even when they saw the value delivered. This is where the management team really showed its stuff. Managers taught, coached, mentored, cajoled, and loved their staff. They stretched themselves in ways that I didn't believe were possible.

GETTING THE MONEY

One of the most difficult process-related problems was how to get paid. On the surface, it seemed easy enough, but reality was quite different. Since one department couldn't write another department an actual check, the logical solution was to execute a simple budget transfer. We did it all the time as units were reorganized, absorbed, or deleted. The accounting process was straightforward: submit a form with four pieces of information (the account from which money would be moved, the account to which money would be moved, the amount to move, and the sending account manager's signature). The problem was, we weren't in control of getting the paperwork done. During the first year, we lost more than $30,000 as projects were cancelled before we got paid. We had no recourse. The project was shut down, and the budget account closed. We could hardly sue our own company, though we thought about it.

As we looked into the problem, we quickly realized that our primary clients, the project managers (PMs), were the source. The issue was simple procrastination, but any "leg-breaking" tactics on our part would only lead to poor customer satisfaction and reduced opportunities. First of all, the PMs were busy. Though we made the process as easy as possible, the PMs had a persistent pile of paperwork demanding their attention. Second, when the projects went over budget (and most did), we were at the bottom of the pay list. And third, getting the account manager's signature always required a discussion: "Remind me why we are paying these guys. We all work for the same company, don't we?"

In the end, the solution was simple. When we developed our statement of work, the account manager signed a form agreeing that we could charge his or her account up to a fixed amount: one discussion, one signature. We gained agreement with the finance department that once the signature was on file, we could e-mail them the amount to transfer on a monthly basis. Then, since finance ran budget adjustments only once a month, we aligned our billing with their cycle to ensure our budget was updated regularly.

CULTURE CLASH

We expected some initial resistance to our new model and got it. What we didn't expect was the level of ongoing resistance even as we proved the model worked. At first the PMs were skeptical. They couldn't see why they should use an ATG consultant rather than hire a full-time staff member to fill their needs. They couldn't understand why we wouldn't just transfer staff to their team and be done with it. We could usually overcome this initial resistance quickly with the following selling points:

- Our staff knows the technical and organizational environment better than any outside firm.
- We are a nonprofit organization, charging back only our costs, so we are significantly less expensive than outside consultants.
- We have people who are ready to start immediately.
- Our staff is highly skilled in the new technologies you want to use.
- If you don't like us, you can fire us at any time.

The more difficult job was dealing with the cultural and personal resistance from middle management. Many of the IT managers were threatened by this new way of working. While they were busy telling me all the reasons our business-driven model wouldn't work and why they didn't want to engage ATG consultants on their projects, their PMs were clamoring for us to increase staff and widen our scope. We were never able to fully overcome this problem. After three years, we had strong support from about 75% of the PMs and first-level managers, but from only 40% of middle IT managers.

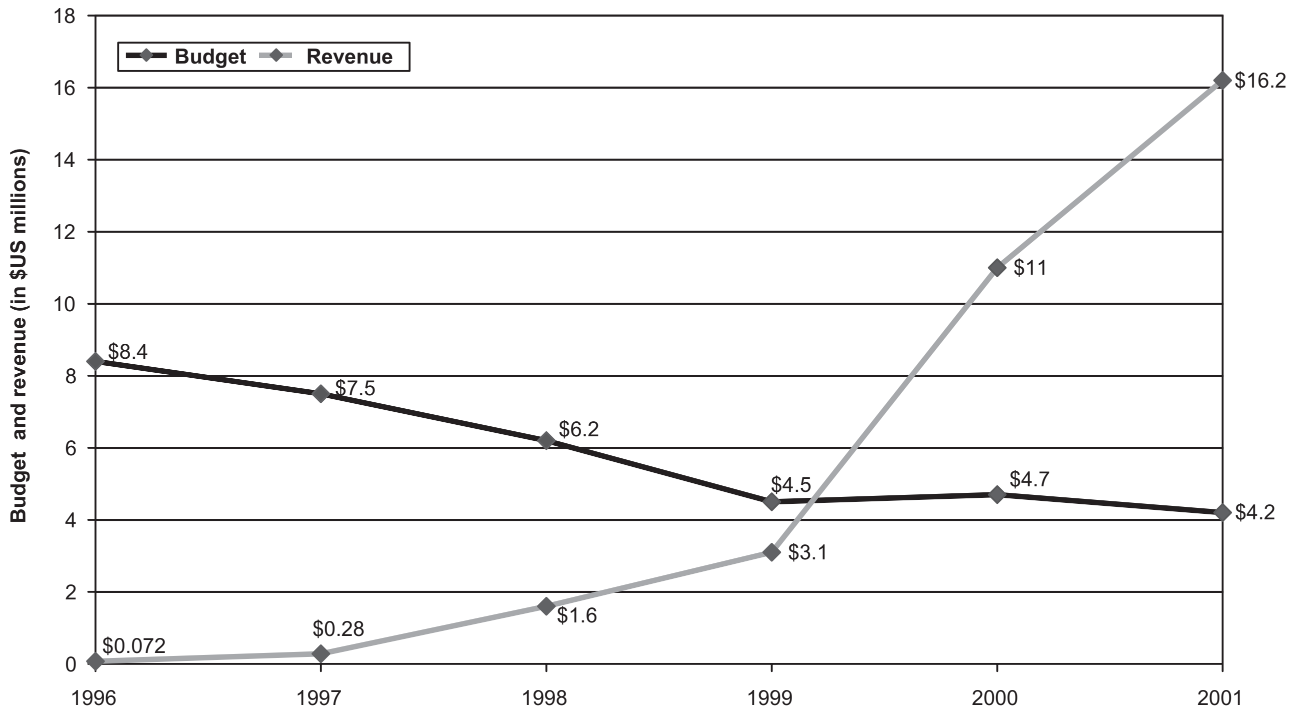

Figure 2 — Budget decreases offset by project revenue growth.

THE BOTTOM LINE

The numbers speak for themselves. In three years, staff size grew from 45 to 150, with an actual decrease in costs of $300,000. The remainder of our $20.4 million ongoing expense was offset by a $16.2 million revenue stream (see Figure 2). In addition, ATG managers were being selected for larger roles in IT and the business; other organizations were asking for our advice and copying our model; and consulting firms and product vendors were asking to partner with us.

But the best results had nothing to do with money or our organizational success. In my 25 years of experience, I have never seen a staff as motivated and enthusiastic or as productive as ATG during those three years. Recently, I ran into one of the ATG managers who had this to say about the experience: "It was the best time of my professional life." It just doesn't get any better than that.

ABOUT THE AUTHOR

Jeff Scott is the Founder and Principal Strategist of Logical Leap, Inc., a management consulting practice focusing exclusively on IT organizations among Fortune *1000 companies with the goal of creating innovative, powerful, and successful IT leaders. Mr. Scott is an accomplished IT consultant with more than 25 years' broad-based leadership experience in the healthcare and finance industries in the areas of strategy, architecture, innovation, and leadership development. He has held key leadership roles in every facet of IT management from operations and technical support to enterprise planning and strategy development. His current areas of focus are IT leadership development, IT business practices, and innovation. Mr. Scott holds a master's degree in psychology from Wake Forest University and is a frequent speaker at international technology symposiums, university programs, and technology management forums. He can be reached at jeffscott@logicalleap.com.*